IAS 37 Lectures-1 - LECTURE NOTES VERY HELPFUL

Financial reporting (SKANS School of Accountancy)

IAS 37

The objective of IAS 37 Provisions, Contingent Liabilities and Contingent Assets is to ensure that:

- appropriate recognition criteria and measurement bases are applied to provisions, contingent liabilities and contingent assets, and that
- sufficient information is disclosed in the notes to the financial statements to enable users to understand their nature, timing and amount.' IAS 37 Objective

PROVISION:

- 'A provision is a liability of uncertain timing or amount' (IAS 37, para 10).
- 'A liability is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits' (Framework para 4.4 (b))

RECOGNISION OF PROVISION:

'A provision shall be recognized when:

- an entity has a present obligation (legal or constructive) as a result of a past event,
- a reliable estimate can be made of the amount of the obligation, and
- it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation
- If these conditions are not met, no provision shall be recognized' (IAS 37, para 14).

DETAILS:

<u>A present obligation as a result of a past event</u>

The obligation needs to exist because of events which have already occurred at the year-end and give rise to a potential outflow of economic resources. This obligation can either be:

1. Legal/contractual
2. Constructive

This is where the company establish a valid expectation through a course of past practice, regardless of whether there is a legal requirement to perform the task or not.

A reliable estimate can be made

Provisions should be recognized at the best estimate. If the provision relates to one event, such as the potential liability from a court case, this should be measured using the most likely outcome. If the provision is made up of numerous events, such as a provision to make repairs on goods within a year of sale, then the provision should be measured using expected values.

There is a probable outflow of economic resources

If the likelihood of the event is not probable, no provision should be made. If there is a possible liability, then the company should record a contingent liability instead.

CONTINGENT LIABILITIES:

1. a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or nonoccurrence of one or more uncertain future events not wholly within the control of the entity, or –
2. a present obligation that arises from past events but is not recognized because:

- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or
- the amount of the obligation cannot be measured with sufficient reliability' (IAS 37, para 10).

ACCOUNTING FOR CONTINGENT LIABILITIES:

Contingent liabilities:

- should not be recognized in the statement of financial position
- should be disclosed in a note unless the possibility of a transfer of economic benefits is remote

CONTINGENT ASSETS:

'A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity' (IAS 37 para 10).

ACCOUNTING FOR CONTINGENT ASSETS:

Contingent assets should not generally be recognized, but if the possibility of inflows of economic benefits is probable, they should be disclosed.

If a gain is virtually certain, it falls within the definition of an asset and should be recognized as such, not as a contingent asset

DISCLOSURE TO THE ACCOUNTS:

A contingent liability is disclosed as a note to the accounts only, no entries are made into the financial statements other than this disclosure. Similar to a contingent liability, a company may also have a contingent asset to disclose.

SUMMARY:

The accounting treatment can be summarized in a table.

Degree of probability	**outflow**	**Inflow**
Virtually certain	Recognize liability	Recognize asset
probable	Recognize provision	Disclose as contingent asset
possible	Disclose contingent liability	ignore
remote	ignore	ignore

WARRANTY PROVISION:

Introduction

A warranty is often given in manufacturing and retailing businesses. There is either a legal or constructive obligation to make good or replace faulty products.

Warranty provisions

A provision is required at the time of the sale rather than the time of the repair/replacement as the making of the sale is the past event which gives rise to an obligation.

1. This requires the seller to analyse past experience so that they can estimate:
2. • how many claims will be made – if manufacturing techniques improve, there may be fewer claims in the future than there have been in the past
3. • how much each repair will cost – as technology becomes more complex, each repair may cost more.
4. The provision set up at the time of sale:

- is the number of repairs expected in the future multiplied by the expected cost of each repair
- should be reviewed at the end of each accounting period in the light of further experience.

GUARANTEES:

In some instances (particularly in groups) one entity will make a guarantee on behalf of another to pay off a loan, etc. if the other entity is unable to do so.

A provision should be made for this guarantee if it is probable that the payment will have to be made.

It may otherwise require disclosure as a contingent liability.

FUTURE OPERATING LOSS/FUTURE REPAIRS:

No provision may be made for future operating losses or repairs because they arise in the future and can be avoided (close the division that is making losses or sell the asset that may need repair) and therefore no obligation exists.

ONEROUS CONTRACTS:

'An onerous contract is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it' (IAS 37, para 10).

The signing of the contract is the past event giving rise to the obligation to make the payments and those payments, discounted if the effect is material, will be the measure of the excess of cost over the benefits.

A provision for this net cost should be recognized as an expense in the statement of profit or loss in the period when the contract becomes onerous. In subsequent periods, this provision will be increased by the unwinding of the discount (recognized as a finance charge) and reduced by any payments made.

ENVIRONMENT PROVISIONS:

A provision will be made for future environmental costs if there is either a legal or constructive obligation to carry out the work This will be discounted to present value at a pre-tax market rate.

RESTRUCTURING PROVISONS:

A restructuring is a program that is planned and controlled by management, and materially changes either:

- the scope of a business undertaken by an entity, or
- the manner in which that business is conducted' (IAS 37, para 10).

A provision may only be made if

- a detailed, formal and approved plan exists
- the plan has been announced to those affected. The provision should:
- include direct expenditure arising from restructuring
- exclude costs associated with ongoing activities.

FURTHER DETAILS OF RESTRUCTURING:

Any provision may only be made if a present obligation exists.

In the context of a restructuring, a detailed, formal and approved plan must exist. This in itself is not enough to create a provision, because management may change its mind.

A provision should only be made if the plan has also been announced to those affected. This creates a constructive obligation, because management is now very unlikely to change its mind.

The restructuring provision may only include direct expenditure arising from the restructuring, which is both necessarily entailed by the restructuring, and not associated with the ongoing activities of the entity.

It should therefore include costs such as redundancies and write-downs on property plant and equipment.

Costs associated with retraining or relocating staff, marketing or investment in new systems and distribution networks may not be included in the provision, because they relate to the future conduct of the business.

IAS 38

INTANGIBLE ASSETS:

An intangible asset is an identifiable non-monetary asset without physical substance' (IAS 38, para 8) Intangible assets include items such as:

- licenses and quotas
- intellectual property, e.g. patents and copyrights
- brand names
- trademarks

For an asset to be identifiable IAS 38 Intangible Assets states that it must fall into one of two categories:

1. It is separable – the asset can be bought or sold separately from the rest of the business
2. It arises from legal/contractual rights – this will arise as part of purchasing an entire company. This will be looked at further in the consolidated financial statements chapters.

It must also meet the normal definition of an asset:

- controlled by the entity as a result of past events (normally by enforceable legal rights)
- a resource from which future economic benefits are expected to flow (either from revenue or cost saving).

RECOGNITION:

To be recognized in the financial statements, an intangible asset must meet

- 'the definition of an intangible asset, and
- meet the recognition criteria' of the framework (IAS 38, para 18)
    - it is probable that future economic benefits attributable to the asset will flow to the entity
    - the cost of the asset can be measured reliably. If these criteria are met, the asset should be initially recognized at cost.

PURCHASED INTANGIBLE ASSETS:

If an intangible asset is purchased separately (such as a license, patent, brand name), it should be recognized initially at cost.

MEASUREMENT AFTER INITIAL RECOGNITION:

There is a choice between:

- the cost model
- the revaluation model

THE COST MODEL:

- The intangible asset should be carried at cost less amortization and any impairment losses.
- This model is more commonly used in practice.

Amortization works the same as depreciation. The intangible asset is amortized over the useful life, with the annual expense being shown in the statement of profit or loss each year.

An intangible asset with a **finite useful life** must be amortized over that life, normally using the straight-line method with a zero residual value.

An intangible asset with an **indefinite useful life**:

- should not be amortized
- should be tested for impairment annually, and more often if there is an actual indication of possible impairment.

THE REVALUATION MODEL:

- The intangible asset may be revalued to a carrying amount of fair value less subsequent amortization and impairment losses.
- Fair value should be determined by reference to an active market.

An active market is a market in which transactions for the asset take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

IAS 38 states that active markets for intangible assets are rare, and specifically prohibits the revaluation of patents, brand names, trademarks and publishing rights.

As a guide, indicators of an active market would include:

- the items traded within the market are homogeneous (identical)
- prices are available to the public.

Most intangible assets have value because of their uniqueness, and are therefore unlikely to be homogeneous. Certain licenses may fit this model and could possibly be revalued, but most other intangible assets will not.

INTERNALLY GENERATED INTANGIBLE ASSETS:

Generally, internally-generated intangible assets cannot be capitalized, as the costs associated with these cannot be identified separately from the costs associated with running the business.

The following internally-generated items may never be recognized:

- goodwill ('inherent goodwill')
- brands
- mastheads
- publishing titles
- customer lists

BRANDS:

- The accounting treatment of brands has been a matter of controversy for some years. IAS 38 Intangible Assets has now ended the controversy by stating that internally-generated brands and similar assets may never be recognized.
- Expenditure on internally-generated brands cannot be distinguished from the cost of developing the business as a whole, so should be written off as incurred.
- Where a brand name is separately acquired and can be measured reliably, then it should be separately recognized as an intangible non-current asset, and accounted for in accordance with the general rules of IAS 38.

GOODWILL:

THE NATURE OF GOODWILL:

Goodwill is the difference between the value of a business as a whole and the aggregate of the fair values of its separable net assets.

Separable net assets are those assets and liabilities which can be identified and sold off separately without necessarily disposing of the business as a whole. They include identifiable intangible assets such as patents, licenses and trademarks.

Fair value is defined in IFRS 13 as 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date' (IFRS 13 Appendix A) (i.e., an exit price).

Goodwill may exist because of any combination of a number of possible factors:

- reputation for quality or service
- technical expertise
- possession of favorable contracts
- good management and staff.

PURCHASED AND NON-PURCHASED GOODWILL:

Purchased goodwill:

- arises when one business acquires another as a going concern
- includes goodwill arising on the consolidation of a subsidiary
- will be recognized in the financial statements as its value at a particular point in time is certain.

Non-purchased goodwill:

- is also known as inherent goodwill
- has no identifiable value
- is not recognized in the financial statements.

IFRS 3 BUSINESS COMBINATIONS:

IFRS 3 governs accounting for all business combinations and deals with the accounting treatment of **goodwill** (see Chapter 17).

Goodwill is defined as 'an asset representing the future economic benefits arising from assets acquired in a business combination that are not individually identified and separately recognized' (IFRS 3, Appendix A). Negative goodwill (gain on a bargain purchase) is treated as income, as the purchaser has paid less than the fair value of the identifiable net assets. This will be covered further in Chapter 17.

Accounting for non-purchased goodwill:

Non-purchased goodwill should not be recognized in the financial statements. It certainly exists, but fails to satisfy the recognition criteria in the Framework, since it is not capable of being measured reliably.

RESEARCH AND DEVELOPMENT:

'Research is original and planned investigation undertaken with the prospect of gaining new scientific knowledge and understanding' (IAS 38, para 8).

'Development is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use' (IAS 38, para 8).

ACCOUNTING TREATMENT:

Research expenditure:

write off as incurred to the statement of profit or loss.

Development expenditure:

recognize as an intangible asset if, and only if, an entity can demonstrate all of the following:

- Probable flow of economic benefit from the asset, whether through sale or internal cost savings.
- Intention to complete the intangible asset and use or sell it
- Reliable measure of development cost
- Adequate resources to complete the project
- Technical feasibility of completing the intangible asset so that it will be available for use or sale
- Expected to be profitable, i.e., the costs of the project will be exceeded by the benefits generated. It is only expenditure incurred after the recognition criteria have been met which should be recognized as an asset. Development expenditure recognized as an expense in profit or loss cannot subsequently be reinstated as an asset.

If an item of plant is used in the development process, the depreciation on the plant is added to the development costs in intangible assets during the period that the project meets the development criteria. That is because the economic benefit gained from the plant in this period is only realized when the development project is complete and production is underway. It will be taken to the statement of profit or loss as amortization within the amortization of the development costs.

AMORTIZATION:

Development expenditure should be amortized over its useful life as soon as commercial production begins.

THE CONCEPTUAL AND REGUATORY FRAMEWORK

THE REGULATORY FRAMEWORK:

THE REGULATORY FRAMEWORK of accounting in each country which uses IFRS® Standards is affected by a number of legislative and Quasi legislative influences as well as IFRS Standards:

- national company law
- EU directives
- security exchange rules.

WHY REGULATORY FRAMEWORK IS NECESSARY:

Regulation of accounting information is aimed at ensuring that users of financial statements receive a minimum amount of information that will enable them to make meaningful decisions regarding their interest in a reporting entity. A regulatory framework is required to ensure that relevant and reliable financial reporting is achieved to meet the needs of shareholders and other users.

Accounting standards on their own would not be a complete regulatory framework. In order to fully regulate the preparation of financial statements and the obligations of companies and directors, legal and market regulations are also required.

PRINCILPLES-BASED AND RULES-BASED FRAMEWORK:

Principles-based framework:

- based upon a conceptual framework such as the International Accounting Standards Board's (the Board's) Framework
- accounting standards are created using the conceptual framework as a basis.

  Rules-based framework:

- 'Cookbook' approach
- accounting standards are a set of rules which companies must follow.

In the UK there is a principles-based framework in terms of the Statement of Principles and Accounting Standards and a rules-based framework in terms of the Companies Acts, EU directives and stock exchange rulings.

ADVANTAGES AND DISADVANTAGES OF HARMONIZATION:

There are a number of reasons why the harmonization of accounting standards would be beneficial. Businesses operate on a global scale and investors make investment decisions on a worldwide basis. There is thus a need for financial information to be presented on a consistent basis.

ADVANTAGES OF HARMONIZATION:

1. Multinational entities

- Access to international finance is easier as financial information is more understandable if it is prepared on a consistent basis
- In a business that operates in several countries, the preparation of financial information is easier as it would all be prepared on the same basis
- There is greater efficiency in accounting departments
- Consolidation of financial statements is easier.

2. Investors

If investors wish to make decisions based on the worldwide availability of investments, then better comparisons between entities are required. Harmonisation assists this process, as financial information would be consistent between different entities from different regions.

3. Tax authorities

Tax liabilities of investors should be easier to calculate

4. Large international accounting firms

Accounting firms would benefit as accounting and auditing is easier if similar accounting practices exist on a global basis

DISADVANTAGES OF HARMONIZATION:

1. Difficult to introduce, apply and maintain or enforce in different countries, each of which has a range of social, political, economic and business factors to consider.
2. Different legal systems may prevent the application of certain accounting practices and restrict the options available.
3. Different purposes of financial reporting between countries. In some countries, the principal purpose of financial reporting is to serve as a basis for establishing tax liabilities. Equally, whether a particular entity applies a harmonized set of financial reporting standards may be of little practical relevance if it is essentially owner-managed.
4. Countries may be unwilling to accept another country's standards.
5. Costly to develop a fully detailed set of accounting standards

ROLE OF NATIONAL STANDARD SETTERS:

- The harmonization process has gathered pace in the last few years. From 2005 all European listed entities were required to adopt IFRS Standards in their group financial statements. Many other countries including Australia, Canada and New Zealand decided to follow a similar process. National standard setters are committed to a framework of accounting standards based on IFRS Standards.
- The overall impact of the above is that the trend towards closer international harmonization of accounting practices is now set. It will become increasingly difficult for domestic standard setters to justify domestic standards at odds with IFRS Standards.

IFRS FOUNDATION:

INTERNATIONAL FINANCIAL REPORTING STANDARDS.

- is the supervisory body for the Board
- is responsible for governance issues and ensuring each body is properly funded.

- The objectives of the IFRS Foundation include:
  - develop a set of global accounting standards of high quality which are understandable and enforceable
  - promote the use and application of these standards
  - bring about the convergence of national and international accounting standards.

INTERNATIONAL ACCOUNTING STANDARDS BOARD:

The Board:

• is solely responsible for issuing International Financial Reporting Standards (IFRS Standards)

THE BOARD AND NATIONAL STANDARD SETTERS:

The intentions of the Board are to develop a single set of understandable and enforceable high quality worldwide accounting standards. However, the Board cannot enforce compliance with IFRS standards, therefore it needs the co-operation of national standard setters. In order to achieve this the Board works in partnership with the major national standard-setting bodies:

- All the most important national standard setters are represented on the Board and their views are taken into account so that a consensus can be reached.
- All national standard setters can issue Board discussion papers and exposure drafts for comment in their own countries, so that the views of all preparers and users of financial statements can be represented.

The Board intends to develop a single set of understandable and enforceable high quality worldwide accounting standards.

As far as possible, future international standards will be more rigorous than previously and will no longer allow alternative treatments. The former Chairman of the Board, Sir David Tweedie has already stated that there will not be 'convergence for the sake of convergence by the issue of a set of 'lowest common denominator' accounting standards'

. Because the Board on its own cannot enforce compliance with its standards, it needs the co-operation of national standard setters. Without their support, rigorous new international standards are unlikely to be adopted by everybody. Therefore, the Board works in partnership with the major national standard

setting bodies, including the UK Financial Reporting Council (FRC) and the US Financial Accounting Standards Board (FASB)

Each major national standard setter 'leads' certain international standard setting projects, e.g., the UK ASB carried out much of the work to develop the new international standard on leasing.

All the major national standard-setters are now committed to international convergence.

INTERNATIONAL FINANCIALREPORTING INTERPRETATION COMMITEE:

- issues rapid guidance on accounting matters where divergent interpretations of IFRS Standards have arisen
- these must be approved by the Board

  The IFRIC addresses issues of reasonably widespread importance, rather than issues that are of concern to only a small minority of entities. The interpretations cover both:

- newly identified financial reporting issues not specifically dealt with in IFRS Standards, or
- issues where unsatisfactory or conflicting interpretations have developed, or seem likely to develop in the absence of authoritative guidance, with a view to reaching a consensus on the appropriate treatment.

THE IFRS ADVISORY COUNCIL:

The IFRS Advisory Council provides a forum for the Board to consult a wide range of interested parties affected by the Board's work, with the objectives of:

- advising the Board on agenda decisions and priorities in the Board's work,
- informing the Board of the views of the organizations and individuals on the Council on major standard-setting projects, and
- giving other advice to the Board or to the Trustees.

DEVELOPMENT OF IFRS STANDARDS:

The procedure for the development of an IFRS Standard is as follows:

- The Board identifies a subject and appoints an advisory committee to advise on the issues.
- The Board may issue a discussion paper to encourage comment.
- The Board publishes an exposure draft for public comment, being a draft version of the intended standard.

- Following the consideration of comments received on the draft, the Board publishes the final text of the IFRS Standard.
- The publication of an IFRS Standard, exposure draft or IFRIC Interpretation requires the votes of at least eight of the 15 Board members.

STATUS OF IFRS STANDARDS:

Neither the IFRS Foundation, the Board nor the accountancy profession has the power to enforce compliance with IFRS Standards. Nevertheless, some countries adopt IFRS Standards as their local standards, and others ensure that there is minimum difference between their standards and IFRS Standards. In recent years, the status of the Board and its standards has increased, so IFRS Standards carry considerable persuasive force worldwide.

CONCEPTUAL FRAMEWORK:

INTRODUCTION:

There are two main approaches to accounting:

- A principles-based or conceptual framework approach such as that used by the Board.
- A rules-based approach such as that used in the US.

WHAT IS CONCEPTUAL FRAMEWORK:

A conceptual framework is:

- a coherent system of interrelated objectives and fundamental principles
- a framework which prescribes the nature, function and limits of financial accounting and financial statements.

WHY HAVE A CONCEPTUAL FRAMEWORK:

There are a variety of arguments for having a conceptual framework. \

- It enables accounting standards and generally accepted accounting practice (GAAP) to be developed in accordance with agreed principles.
- It avoids ‘fire-fighting’, whereby accounting standards are developed in a piecemeal way in response to specific problems or abuses. Firefighting

can lead to inconsistencies between different accounting standards, and between accounting standards and legislation.

- Lack of a conceptual framework may mean that certain critical issues are not addressed, e.g., until recently there was no definition of basic terms such as 'asset' or 'liability' in any accounting standard.
- As transactions become more complex and businesses become more sophisticated it helps preparers and auditors of financial statements to deal with transactions which are not the subject of an accounting standard.
- Accounting standards based on principles are thought to be harder to circumvent.
- A conceptual framework strengthens the credibility of financial reporting and the accounting profession.
- It makes it less likely that the standard-setting process can be influenced by 'vested interests' (e.g., large companies/business sectors).

This is the approach used in the UK and by the Board.

ALTERNATIVE RULE-BASED SYSTEM:

A possible alternative to a conceptual framework is a prescriptive 'cookbook' approach based on rules rather than principles. This is the approach in the US.

Principles are harder to circumvent and therefore preferable to a rules-based approach.

THE PURPOSE OF THE FRAMEWORK:

The conceptual framework published by the Board is called the Conceptual Framework for Financial Reporting.

It includes guidance with regard to

- the objective of financial reporting
- the qualitative characteristics of financial information
- the definition, recognition and measurement of the elements of financial statements
- concepts of capital and capital maintenance.

The purpose of the Framework is to:

- help the Board in their role of developing future IFRS Standards and in reviewing existing IFRS Standards

- help the Board in promoting harmonization by providing a basis for reducing the number of alternative accounting treatments permitted by IFRS Standards
- help national standard-setting bodies in developing national standards
- help those preparing financial statements to apply IFRS Standards and also to deal with areas where there is no relevant standard
- help auditors when they are forming an opinion as to whether financial statements conform with IFRS Standards
- help users of financial statements when they are trying to interpret the information in financial statements which have been prepared in accordance with IFRS Standards
- provide information to other parties that are interested in the work of the Board about its approach to the formulation of IFRS Standards

the Framework is not in itself an IFRS Standard and does not override any specific IFRS Standard. In any rare instances where there may be a conflict between the Framework and an IFRS Standard, the requirements of the IFRS Standard prevail over the Framework.

OBJECTIVE OF FINANCIAL REPORTING:

The objective of financial reporting is to provide financial information about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions about providing resources to the entity.

QUALITATIVE QUALITIES:

INTRODUCTION:

Qualitative characteristics are the attributes that make information provided in financial statements useful to others.

The Framework splits qualitative characteristics into two categories:

- Fundamental qualitative characteristics – Relevance – Faithful representation
- Enhancing qualitative characteristics – Comparability – Verifiability – Timeliness – Understandability

UNDERLYING ASSUMPTIONS:

The Framework identifies that the underlying assumption governing financial statements is the going concern concept. The going concern basis assumes that the entity has neither the need nor the intention to liquidate or materially curtail the scale of its operations. If this is not the case then the financial statements would be prepared on a different basis, which must be disclosed.

FUNDAMENTAL QUALITATIVE CHARCTERISTICS:

Information is relevant if:

- it has the ability to influence the economic decisions of users, and
- is provided in time to influence those decisions. Materiality has a direct impact on the relevance of information.

QUALITIES OF RELEVANCE:

information provided by financial statements needs to be relevant. Information that is relevant has predictive or confirmatory value.

- Predictive value enables users to evaluate or assess past, present or future events.
- Confirmatory value helps users to confirm or correct past evaluations and assessments.

Where choices have to be made between mutually-exclusive options, the option selected should be the one that results in the maximum relevance of information– in other words, the one that would be of most use in taking economic decisions.

MATERIALITY:

Materiality is an entity-specific aspect of relevance and depends on the size of the item or error judged in the particular circumstances of its omission or misstatement. Materiality is a threshold quality. A threshold quality is:

- one that needs to be studied before considering the other qualities of that information
- a cut-off point – e.g., if any information does not pass the test of materiality, it does not need to be considered further.

Information is material if its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements.

FAITHFUL REPRESENTATION:

If information is to represent faithfully the transactions and other events that it purports to represent, they must be accounted for and presented in accordance with their substance and economic reality and not merely their legal form.

To be a perfectly faithful representation, financial information would possess the following characteristics:

- Completeness – To be understandable information must contain all the necessary descriptions and explanations.
- Neutrality – Information must be neutral, i.e. free from bias. Financial statements are not neutral if, by the selection or presentation of information, they deliberately influence the making of a decision or judgement in order to achieve a predetermined result or outcome.
- Free from error – Information must be free from error within the bounds of materiality. A material error or omission can cause the financial statements to be false or misleading, and thus unreliable and deficient in terms of their relevance.

Free from error does not mean perfectly accurate in all respects. For example, where an estimate has been used the amount must be described clearly and accurately as being an estimate.

ENHANCING QUALITATIVE CHARACTERISTICS:

'Comparability, verifiability, timeliness and understandability are qualitative characteristics that enhance the usefulness of information that is relevant and faithfully represented'

COMPARABILITY:

Users must be able to:

- compare the financial statements of an entity over time to identify trends in its financial position and performance
- compare the financial statements of different entities to evaluate their relative financial performance and financial position.

- For this to be the case there must be:
  - consistency and
  - disclosure

An important implication of comparability is that users are informed of the accounting policies employed in preparation of the financial statements, any changes in those policies and the effects of such changes. Compliance with accounting standards, including the disclosure of the accounting policies used by the entity, helps to achieve comparability.

Because users wish to compare the financial position and the performance and changes in the financial position of an entity over time, it is important that the financial statements show corresponding information for the preceding periods.

VERIFIABILITY:

Verification can be direct or indirect. Direct verification means verifying an amount or other representation through direct observation, for example, by counting cash. Indirect verification means checking the inputs to a model, formula or other technique and recalculating the outputs using the same methodology' e.g. recalculating inventory amounts using the same cost flow assumption such as first-in, first-out method.

TIMELINESS:

'Timeliness means having information available to decision makers in time to be capable of influencing their decisions. Generally, the older the information is the less useful it becomes'

UNDERSTANDABILITY:

Understandability depends on:

- the way in which information is presented
- the capabilities of users.

  It is assumed that users:

- have a reasonable knowledge of business and economic activities
- are willing to study the information provided with reasonable diligence.

For information to be understandable users need to be able to perceive its significance

ELEMENTS OF FINANCIAL STATEMENTS:

ASSETS:

'An asset is

- a resource controlled by the entity
- as a result of past events
- from which future economic benefits are expected to flow to the entity'

LIABILITIES:

A liability is

- a present obligation of the entity
- arising from past events'
- 'expected to result in an outflow from the entity of resources embodying economic benefits'

EQUITY INTEREST:

'Equity is the residual interest in the assets of the entity after deducting all its liabilities'

INCOME:

'Income is

- increases in economic benefits during the accounting period in the form of inflows or
- enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants' (Framework, para 4.25 (a))

This definition follows a statement of financial position approach rather that the more traditional profit or loss approach to recognizing income.

EXPENSES:

'Expenses are

- decreases in economic benefits during the accounting period in the form of outflows or
- depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants'

DETAILS:

ASSETS:

'An asset is a resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity' (Framework, para 4.4 (a))

To explain further the parts of the definition of an asset:

- Controlled by the entity – control is the ability to obtain the economic benefits and to restrict the access of others (e.g., by a entity being the sole user of its plant and machinery, or by selling surplus plant and machinery).
- Past events – the event must be 'past' before an asset can arise. For example, equipment will only become an asset when there is the right to demand delivery or access to the asset's potential. Dependent on the terms of the contract, this may be on acceptance of the order or on delivery.
- Future economic benefits – these are evidenced by the prospective receipt of cash. This could be cash itself, a debt receivable or any item which may be sold. For example, although a factory may not be sold (on a going-concern basis) if it houses the manufacture of goods, when these goods are sold the economic benefit resulting from the use of the factory is realized as cash.

LIABILITIES:

Liabilities are an entity's obligations to transfer economic benefits as a result of past transactions or events.

To explain further the parts of the definition of a liability:

- Obligations – these may be legal or constructive. A constructive obligation is an obligation which is the result of expected practice rather than required by law or a legal contract. An example of a constructive obligation may be an environmental provision created by an entity which has a published policy of clearing up damage done to the environment, regardless of whether any legislation exists enforcing this. • Transfer economic benefits – this could be a transfer of cash, or other property, the provision of a service, or the refraining from activities which would otherwise be profitable.
- Past transactions or events – similar points are made here to those under assets.

Complementary nature of assets and liabilities – as should be evident from the above, assets and liabilities are seen as mirror images of each other. Sometimes they are offset, e.g., a credit note issued to a customer will be set against the debt rather than being recorded as a separate liability.

EQUITY:

'Equity is the residual interest in the assets of the entity after deducting all its liabilities' (Framework, para 4.4 (c))

The definition describes the residual nature of equity interest. Owners' wealth can be increased whether or not a distribution is made. The sharing may be in different proportions. Equity interest is usually analyzed in financial statements to distinguish interest arising from owners' contributions from that resulting from other events. The latter is split into different reserves which may have different applications or legal status.

RECOGNITION OF THE ELEMENTS:

RECOGNITION:

Recognition is:

- the depiction of an element
- in words and by monetary amount
- in the financial statements.

RECOGNITION OF ASSETS:

An asset will only be recognized if:

- it gives rights or other access to future economic benefits controlled by an entity as a result of past transactions or events
- it can be measured with sufficient reliability
- there is sufficient evidence of its existence.

RECOGNITION OF LIABILITIES:

A liability will only be recognized if:

- there is an obligation to transfer economic benefits as a result of past transactions or events
- it can be measured with sufficient reliability

- there is sufficient evidence of its existence.

RECOGNITION OF INCOME:

Income is recognized in profit or loss when:

- an increase in future economic benefits arises from an increase in an asset (or a reduction in a liability), and
- the increase can be measured reliably

RECOGNITION OF EXPENSES:

Expenses are recognized in profit or loss when:

- a decrease in future economic benefits arises from a decrease in an asset or an increase in a liability, and
- it can be measured reliably.

FINANCIAL POSITION APPROACH TO RECOGNITION:

It can be seen therefore that:

- income is an increase in an asset/decrease in a liability
- expenses are an increase in a liability/decrease in an asset.

As income and expenses are therefore recognized on the basis of changes in assets and liabilities this is known as a financial position (or balance sheet) approach to recognition.

IFRS 15

REVENUE FROM CONTRACTS WITH CUSTOMERS:

Recognition of revenue is vital to the fair presentation of the financial statements. For many business entities, the revenue figure is the largest single financial value included in their financial statements. With most transactions it is relatively easy to determine when, and how much, revenue has been earned.

However, for some entities, this is not always easy to determine or quantify, and some entities have adopted a range of accounting treatments in an effort to comply with the reporting requirements. For example, if an entity supplies a bundle or combination of goods and/or services to a customer, it can be more difficult to identify when and how much revenue has been earned and when it can be recognized in the financial statements.

Revenue should be stated in the financial statements excluding sales tax and also excluding amounts collected on behalf of others.

For example, a travel agent receives a holiday booking from a client for an all-inclusive price of $1,000, on which the agent is entitled to 10% commission. The travel agent will recognize revenue of $100, with the balance of $900 accounted for as a liability due to the holiday company. The holiday company will recognize revenue of $1,000 less the expense of $100 commission due to the travel agent.

IFRS 15 Revenue from Contracts with Customers provides a five-step approach to revenue recognition and clarifies when revenue from various sources may be recognized. This should help entities to determine revenue recognition on a more consistent and comparable basis.

Revenue is defined as 'income arising in the course of an entity's ordinary activities' IFRS 15, Appendix A).

THE FIVE STEP APPROACH TO REVENUE RECOGNITION:

Revenue from the sale of goods and/or provision of services should be recognized based upon application of the five-step approach:

1. Identify the contract
2. Identify the separate performance obligations within a contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognize revenue when (or as) a performance obligation is satisfied.

Each of the five steps will be considered in turn using the following illustration to help you gain an understanding of the basic principles.

ILLUSTRATION:

on 1 December 20X1, Wad Co received an order from a customer for the purchase of a computer plus technical support for 12 months. Wad Co delivered the computer (and transferred control of the computer) on 1 December 20X1. The customer paid a total of $420 immediately, which comprised $300 for the computer and $120 for technical support. Both the computer and technical support could be purchased separately. Wad Co has an accounting year end of 31 March 20X2.

Below are how the five steps would be applied to this transaction:

Step 1 – Identify the contract

There is an agreement between Wad Co and its customer for the provision of goods (supply of computer) and services (twelve months of technical support).

Step 2 – Identify the separate performance obligations within a contract

There are two performance obligations (promises) within the contract:

- Wad Co has agreed to supply a computer
- Wad Co has agreed to the supply of technical support for 12 months

Step 3 – Determine the transaction price

The total transaction price agreed was $420.

This step is important for revenue recognition as, if credit customers are offered an early settlement discount, the amount of revenue receivable will be variable, depending upon whether or not the credit customer takes advantage of the early settlement discount terms. This is considered in more detail in chapter 5 'Returns, discounts and sales tax'.

Step 4 – Allocate the transaction price to the separate performance obligations in the contract

Based upon the individual sale price of the computer and technical support, $300 should be allocated to the sale of the computer and $120 should be allocated to the supply of technical support.

Step 5 – Recognize revenue when (or as) a performance obligation is satisfied

Revenue is recognized either at a point in time, or over a period of time

The performance obligation to sell a computer is a performance obligation that is satisfied at a point in time – i.e., on 1 December 20X1. Control of the computer was transferred to the customer on 1 December so the revenue of $300 can be recognized on that date.

The performance obligation to supply technical support is recognized over a period of time – i.e., for 12 months commencing 1 December 20X1. In the year ended 31 March

20X2, revenue of $40 (4/12 × $120) should be recognized from the provision of technical support.

As the customer paid $420 immediately, the total recognized as revenue for the year ended 31 March 20X2 is $340 ($300 + $40), leaving deferred income of $80 (included within current liabilities as at 31 March 20X2).

RECOGNITION OF REVENUE- FURTHUR DETAILS:

Revenue is recognized either at a point in time or over a period of time (IFRS 15, para 32).

According to IFRS 15, an entity satisfies a performance obligation and recognizes revenue over time, if any one of the following criteria is met:

a. the customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs its obligations, or
b. the entity's performance creates or enhances an asset (for example, work in progress) that the customer controls as the asset is created or enhanced, or
c. the entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

This is more likely to apply to the provision of services over a period of time.

If revenue is not recognized over time, then it must be recognized at a point in time (IFRS 15, para 38).

According to IFRS 15, revenue is to be recognized at a point in time, an entity must be able to determine when control over goods or assets supplied has been transferred.

Control of an asset refers to the ability to direct the use of, and obtain substantially all of the remaining benefits (inflows or savings in outflows) from, the asset. Control includes the ability to prevent other entities from obtaining benefits (i.e., using or selling) an asset

The following are **indicators of the transfer of control:**

- the entity has a present right to payment for the asset

- the customer has legal title to the asset • the entity has transferred physical possession of the asset
- the customer has the significant risks and rewards of ownership of the asset
- the customer has accepted the asset.

This is more likely to apply when physical products or goods have been sold to a customer and it can be clearly established that control has been transferred at a specific point or date in time.

IFRS 15- DISCLOSURE REQUIREMENTS:

According to IFRS 15 Revenue from Contracts with Customers, the following are the key disclosure requirements relating to revenue recognition:

- the accounting policy for revenue recognition should be disclosed.
- significant judgements made to apply the 5-step approach required by IFRS 15 should be disclosed.
- the total amount of revenue recognized, broken down into significant categories should be disclosed.

IAS 10

Events after the reporting period:

Events after the reporting period are those events, both favorable and unfavorable, which occur between the reporting date and the date on which the financial statements are approved for issue by the board of directors.

Adjusting Events:

Adjusting events are events after the reporting date that provide additional evidence of conditions existing at the reporting date.

Examples of adjusting events:

Examples of adjusting events include

- irrecoverable debts arising after the reporting date, which may help to quantify the allowance for receivables as at the reporting date
- amounts received or receivable in respect of insurance claims which were being negotiated at the reporting date

- Invoices received in respect of goods or services received before the year end
- The resolution after the reporting date of a court case giving rise to a liability
- Evidence of impairment of assets, such as news that a major customer is going into liquidation or the sale of inventories below cost
- Discovery of fraud or errors showing that financial statements were incorrect
- Determination of employee bonuses/profit shares
- The tax rates applicable to the financial year are announced
- The auditors submit their fee
- The sale of a non-current asset at a loss indicates that it was impaired at the reporting date
- The bankruptcy of a customer indicates that their debt was irrecoverable at the reporting date
- The sale of inventory at less than cost indicates that it should have been valued at NRV in the accounts
- The determination of cost or proceeds of assets bought/sold during the accounting period indicates at what amount they should be recorded in the accounts

Non-adjusting events:

Non adjusting events are events after the reporting date that concern conditions that arose after the reporting date.

Examples of non-adjusting events:

Examples of non-adjusting events include

- a major business combination after the reporting date
- the destruction of a major production plant by a fire after the reporting date
- abnormally large changes in asset prices or foreign exchange rates after the reporting date.
- Business combinations
- Discontinuance of an operation
- Major sale/purchase of assets
- Destruction of major assets in natural disasters
- Major restructuring
- Major share transactions
- Unusual changes in asset prices/foreign exchange rates
- Commencing major litigation
- A purchase or sale of a non-current asset
- The destruction of assets due to fire or flood
- An issue of shares

- Acquisition or disposal of a subsidiary post year end

Important note:

- Adjust financial statements for adjusting events
- Do not adjust for non-adjusting events
- If an entity declares dividends after the reporting period, the entity shall not recognize those dividends as a liability at the end of the reporting period. That is a non-adjusting event.
- An entity shall not prepare its financial statements on a going concern basis if management determines after the reporting period either that it intends to liquidate the entity or to cease trading.
- Dividends: If an entity declares dividends to holders of equity instruments after the reporting period but before the financial statements, the entity shall not recognize those dividends as a liability at the end of the reporting period. This is because no obligation exists at that time. Such dividends are disclosed in the notes.
- Going concern: An entity shall not prepare its financial statements on a going concern basis if management determines after the reporting period either that it intends to liquidate the entity or to cease trading, or that it has no realistic alternative but to do so.
- Disclosure: Non-adjusting events should disclose the nature and financial effect of the event if its non-disclosure would affect the judgment of users in making decisions.